

asked me why the market was so nervous, I would have pontificated about a war scare.

One might think that with the prowess of computers and the ever greater sophistication of programmers, people could come up with a nearly infallible market-forecasting system. So far, though, it hasn't happened. The systems often fail because, again, of a data-mining issue. The seemingly savvy forecaster's predictive system doesn't work because it didn't really work in the first place; he just had a version of the Super Bowl Indicator.

You have probably heard the story about the market letter writer who sends out 128 free copies of his letter, sixty-four of them recommending that IBM be bought, sixty-four recommending a sale. A month later IBM is down 5 percent, so he throws out the names of the sixty-four people to whom he had recommended buying the stock and works up a second set of letters: thirty-two recommend buying Microsoft, the other thirty-two say it's a sale. This goes on for several weeks until he has eight people who have had four great tips in a row. He then sends them a telegram that says, "Friends, I have just *proved* to you that I am the best forecaster in town. I now have a fifth idea that I am even more sure about than the last four. Your check for only \$500 . . ." He's converted a random sequence into a terrific track record.

Mutual fund companies have been suspected of similarly manufacturing performance. If you are a giant management company, you can launch ten start-up funds, seeding each with \$100,000. The ten managers agree to only one guideline: that each will do something different from the others. One will buy only high-growth stocks, another only gold stocks, another only Treasury bills—it doesn't matter, as long as they are different. At the end of the year the company's management sees three of the funds have done well, compared to funds in their category. So it cancels the other seven and keeps the three. It's like growing radishes. You thin out the patch. At the end of another two years the company will have one fund with a terrific record. It drops the other two and